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erode customer trust. The RBI's new guidelines require a holistic approach to managing data integrity, governance and risk assessments, making automation essential to mitigate threats such as 'man-in-the-middle' attacks. To address these, BFSI firms are embracing digital transformation. Advanced technologies such as GenAI, blockchain, and RegTech solutions are empowering compliance teams.

Automation in compliance: Institutions are investing in automa-

tion for real-time data analysis and monitoring, with technology spend increasing from 6-8% to 10-12% of the total operating expenses in the last financial year. Data analytics and AI/ML aid compliance functions to interpret new regulations, assess impact, and ensure robust regulatory change management. Many multinational banks have computerised systems to:

- Disseminate and interpret new regulations and perform impact assessment of regulatory circulars

- Issue management, tracking, and monitoring to strengthen resolution process of adverse findings
- Use technology to deliver tailored trainings to the staff

Leveraging RegTech for compliance precision: With KYC and AML violations being primary drivers of non-compliance penalties (which have grown by 88% from 2021 to 2024), RegTech solutions are vital. They automate compliance processes, provide risk assessment, monitoring and reporting, consolidate customer profiles and facilitate real-time behaviour monitoring, helping institutions foresee and address compliance risks

Harnessing GenAI: GenAI automates tasks such as document review, transaction monitoring, and fraud detection. However, risks such as AI biases and insufficient data necessitate caution

In addition, there is an increasing emphasis on strengthening the Risk and Compliance Governance at these institutions with focus on key aspects related to the enterprise structure and relevant operational matters emanating from the business.

Three Lines of Defence model framework: Adopting a "Three Lines of Defence" model strengthens compliance. By defining roles across operational management, compliance and risk management and internal audit, it reinforces governance and creates a cohesive compliance structure.

Extending compliance to operational strategies: Compliance demands enhanced focus on customer experience, including onboarding, grievance redressal and transaction transparency. Institutions must adopt